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Shareholder Democracy is the biggest weakness in Corporate Governance

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Introduction

Corporate Governance is collection of rules and practices that is used to direct a company to promote transparency, accountability and overall responsible and ethical governance. It ensures that the company is able to pursue its objective of "maximising shareholder value" while ensuring that the interests of the various stakeholders like shareholder, employees, creditors and society at large. Shareholders are one of the most important stakeholders of the company if not the most important one. Shareholders are the owners of the company and the ultimate beneficiaries of the company's residual income. The company exists to maximise shareholder value. Shareholders play a vital role in ensuring good corporate governance by exercising their right to vote, decide on important decisions, oversee management performance. This idea of shareholders controlling the decisions of the company directly and holding the management accountable is known as "***shareholder democracy***". Shareholders democracy believes in the principle that the shareholders can hold the management accountable and guide the company's direction (Fama and Jensen, 1983).

Premise

Shareholder democracy exists to ensure that the company can continue to maximise shareholder value and to ensure that managerial interests are not in conflict with the interests of the shareholder. However often times it has been found that shareholders submit ill-conceived proposals which are detrimental to the interests of the company due to lack of specialised knowledge or that the voting process is hijacked by few big shareholders who are generally large institutional investors whose goals and motivations are entirely different from other small and individual shareholders. Research finds that shareholders have hardly ever managed to effectuate control or leadership transitions except during a crisis like a corporate scandal.

Therefore, while shareholder democracy is a necessary and important part of the overall corporate governance process, it is often a ceremonial process rather than a mechanism of accountability and responsibility.

Why Shareholder Democracy is Weak?

1. Agency Costs and Executive Compensation

Agency costs are costs that are incurred due to the conflict between those who own the company and those who manage it. It is the cost of monitoring. Shareholder democracy aspires to cut down on these agency costs. While shareholders possess right over residual earning, managers possess residual control over assets because complete contracts are not possible and managers have skills that shareholders lack. This allows managers to pursue personal goals over shareholder goals (Shleifer and Vishny, 1997). One of the most significant components of agency costs is executive compensation as it represents direct conflict between shareholder and manager interests. Executive compensation includes both fixed pay and equity-based compensation known popularly as stock options were found to be the best method to reduce agency costs as executives are also incentivised to act in shareholder's best interests (Jensen and Meckling, 1976/2019). However, Jensen and Meckling warned that poorly planned stock options would lead to excessive risk-taking which will lead to rapid increase in stock prices in the short term thus leading to short termism and erosion of shareholder value.

The recent approval of Elon Musk's 1 trillion dollars tesla pay package has been called as a conflict of interest as it is mostly stock options which would significantly increase is ownership and voting rights over Tesla and increases the agency costs as Musk may act in his own interest over larger shareholder interests (Yahoo News UK, 2025).

2. Dominance of Large Investors and Proxy Power

In many countries most shares and voting rights are held by institutional investors and proxy advisory firms and not by individual shareholders. Many of these institutional investors often have differential voting rights or have nominee board members that influence major decisions. Furthermore, there is no incentive or the ability or the financial means for any one small shareholder to monitor management of a company. However large institutional investors have all the means to effectuate robust monitoring on the management, thus reducing agency costs for all shareholders (Roe, 1990). It is also found that there is tighter control on executive compensation when there are large shareholders on the board (Bertrand and Mullainathan, 2001).

However, the incentive and effectiveness of institutional investor is not always in favour of all shareholders. Often it has been found that institutional investors favour of managers who are considered indispensable to the company's success with its current strategy (Pound, 1988). These managers become a key factor over the success and failure of the organisation which allows the managers to prioritize personal interests over company or shareholder interests. This was seen when OpenAI's board fired Sam Altman over AI safety concerns and abusive behaviour towards his colleagues. The Board of OpenAI wanted to maintain its clean non-profit status whereas Sam Altman wanted to go for a "profit

oriented" status (Financial Times, 2023). However, the investors and employees demanded that Sam Altman to be reinstated as CEO and asking the board to resign as he was considered critical to development of world's leading LLM AI model ChatGPT. This is a clear example where shareholders knowingly favoured reinstating a person to leadership role as he was instrumental to company success. Tesla's shareholders approved Elon Musk's 1 trillion dollars pay package as the Board argued that Musk would quit if the pay package was not approved especially at a time when the company is trying to grow (Yahoo News UK, 2025).

While Institutional investors could reduce agency costs, however it is found that concentrated ownership reduces liquidity of shares which is an unacceptable cost to many institutional investors (Coffee Jr, 1991). Large institutional investors find it easier to become profitable by selling shares than incurring costs to monitor its management.

Shareholders are believed to have a say on corporate decisions using the power of voting however, actual power in held in the hands of a few large institutional investors rather than retail investors who often dominate the voting outcome.

While analysing the proxy voting on Costco's DEI risk reporting proposal which is a part of its ESG strategy, it was found that large investors like Blackrock and Vanguard impose undue influence on the voting process which is further amplified by proxy advisory firms like ISS and Glass Lewis. Meanwhile, majority of retail shareholders did not vote. The voting was believed to massively influenced by the "big investors" who themselves had hidden motivations against such risk apart from the management who called the proposal "woke" (Padfield, 2025).

According to Padfield, a far better alternative is to have stronger corporate governance laws and have the management solely focus on maximising on shareholder value which benefits all shareholders as managers cannot knowingly destroy shareholder value as shareholders has multiple redressal mechanisms to correct any such egregiousness.

3. Short termism

It has been observed that when shareholders are given substantial power, then corporate policies that prioritize short term price gains are favoured over policies that aim at long term sustainable goal (Stout, 2012). Hedge funds and activist investors who are only concerned with their own growth exert control and pressure on management to adopt policies that favour quick price gains often through measures like job cuts, cutting down on product and market research and development. These affect the company's ability to innovate and grow over the long term. Stout believes that instead of shareholders, boards should be carefully selected and empowered to exercise judgement rather than simply agreeing to shareholder's wishes that are conflicting with the company's goals.

In 2008 when HSBC was suffering from the effects of the global financial crisis, American Asset Management firm Knight Vinke opposed HSBC's decision to raise equity capital as these would affect the financial interests of the existing shareholders. Their alternative proposal exposed HSBC to US sub-prime mortgages that would have led to withdrawal of HSBC's banking permission in USA and affect its reputation as a global banking giant. HSBC board successfully resisted the pressure and went ahead with the equity increase as noted by Kokkinis (Kokkinis, 2014).

4. Rational Apathy and Information Asymmetry

Rational apathy is a phenomenon which explains why many retail investors choose not to actively participate in corporate governance proceedings. It arises due to Information asymmetry which means that there is uneven distribution of critical knowledge between shareholders and the management. Shareholders often have less time sensitive and critical information than shareholders. This asymmetry allows managers to pursue personal interests at the cost of the shareholders. Due to the complex nature of the proposals, and cost of voting which often outweighs any incentives for the retail shareholder and as their holdings are small, retail investors choose to remain "passive" or follow management recommendations while institutional investors may choose to dissolve their stakes if they are dissatisfied with the management. Thus, retail shareholders continue to be at the mercy of these big shareholders like BlackRock and Vanguard who often have their own motivations to pursue or abandon various proposals. In fact, institutional investors rarely vote against insider-sponsored proposals especially if they have business ties with the company (Hamdani and Yafeh, 2013).

One of the biggest examples of information asymmetry and rational apathy was the Enron scandal of 2002. Enron's managers used complex financial reporting systems that misled their shareholder and other stakeholders and even their auditor Arthur Anderson which was eventually dissolved. Enron used business entities called special purpose vehicles to hide their debt and underperforming assets in their balance sheet thus hiding critical information from the users of the financial statements. Due to the extreme complex nature of reporting, shareholders and stakeholders chose to ignore flagrant red-flags which pointed at fraud as early as 1998 (Benston et al., 2004).

Conclusion

Shareholder democracy is an underperforming method of corporate governance. The very rationale for shareholder democracy is hijacked by the presence of large institutional investors and proxy advisory voting firms who dominate decision making process to pursue personal goals rather than goals of all shareholders. High level of information asymmetry enables managers to pursue personal goals of their own over goals of the shareholders. Retail investors on the other hand remain a passive voice due to the lack of specialised skills, complexity and cost of monitoring. Shareholder democracy is therefore more symbolic rather than actual means of corporate governance and for the most part of it is the biggest weakness in the corporate governance system.

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